



Introduction ▼

What is a Cryptocurrency?

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What is a cryptocurrency?

Cryptocurrencies have become extremely popular in recent years. Not just online, but *everywhere*.

You've probably even seen TV commercials about cryptocurrencies being the next big thing. And maybe even your favorite actor or athlete promoting them.



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How are they different from traditional currencies? What makes them so special?

What are cryptocurrencies?

A **cryptocurrency** (or “**crypto**”) is an umbrella term for a new kind of “digital money” that relies on a *combination* of technologies that allows it to exist **outside the control of central authorities** like governments and banks.

Cryptocurrencies are digital.

Cryptocurrencies have **no physical form**. There are no dollar bills or metal coins.

They are completely *digital*, meaning they’re literally just **lines of computer code**.



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Cryptocurrencies are borderless.

Regardless of where you live or who you are, you can send it almost instantaneously to others anywhere in the world, without concern for geographic distance and country borders.

Cryptocurrencies are **borderless**. All you need is a device, like a **phone** or a **computer**, that's connected to the internet.

Cryptocurrencies are permissionless.

Anybody can send and receive cryptocurrencies. You don't need to register an account or fill out an application. Cryptocurrencies are **permissionless**.

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You don't even need to give your name. Instead of names and account numbers, all you need to provide is a computer-generated string of letters and numbers known as an **"address"**.



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This address is not inherently tied to any of your personal information, so you can theoretically send cryptocurrencies to other people without ever knowing each other's actual identities.

Since you can send and receive cryptocurrencies without giving any personally identifying information, cryptocurrencies provide some degree of **privacy**.

Cryptocurrencies are decentralized.

Unlike traditional currencies, also known as “**fiat**” currencies, such as the U.S. dollar, cryptocurrencies are **not connected to any government or central bank**.

For example, the **U.S. dollar** is issued and controlled by the Federal Reserve (“Fed”), the **euro** by the European Central Bank (ECB), and the **Japanese yen** by the Bank of Japan (BOJ).



This means that, unlike fiat currencies, cryptocurrencies are not controlled by a central authority. **There is no bank or government behind them.** This



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If no central bank or government issues or creates cryptocurrencies, then who *creates* them?

Units of a cryptocurrency are generated based on **predetermined rules** written in **code** which are executed by **software**.



One of the most important aspects of cryptocurrencies is their **supply** since this heavily determines their **utility** and **value**.

Depending on the rules written in the code of the software, cryptocurrencies can be created and destroyed. Some cryptocurrencies have a **finite** (or fixed) total supply, meaning that there is a maximum number of units that will ever be in circulation, creating scarcity.



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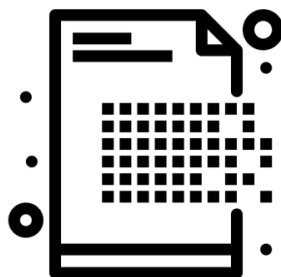
Others are launched with an **infinite** total supply, meaning there is no maximum cap! (Although there might be a limit on the number of new units that can be created within a certain timeframe such as on a yearly basis.)

Cryptocurrencies are counterfeit-proof.

Cryptocurrencies are also designed to be **counterfeit-proof**.

This is where **cryptography** is involved and how it's used to **securely record and store transactions**.

In cryptography, the prefix “**crypt**” means “**hidden**” and the suffix “**graphy**” means “**writing**”.



Before computers existed, cryptography was the study of techniques to keep handwritten information safe from prying eyes.

Even Julius Caesar was known to use cryptography to communicate with his generals.

But in the modern age, cryptography is now associated with protecting



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Since cryptocurrencies rely on cryptography for their security, that's where the "crypto" comes from in "cryptocurrencies."

What makes cryptocurrencies special?

Cryptocurrencies exist independently from any government, central bank, or other central institution.

In summary, cryptocurrencies are special because:

They are **digital**. Cryptocurrencies have no physical form. Everything is done from phones and computers.

They are **borderless**. Anyone with an internet connection can send and receive cryptocurrencies. anywhere in the world, with (usually) smaller fees and faster speeds than traditional money transfers.

They are **permissionless** and available to everyone. You don't need to be approved by a bank and have a bank account to use cryptocurrencies.

No third party (like a bank) needed to confirm and approve transactions.

They provide some degree of **privacy**, which means that you can make transactions without using your name. Different cryptocurrencies vary in the degree of anonymity they provide.

They are **decentralized**, which means governments can't meddle with or control them. No one person or entity owns or controls them. Users can transact directly without the involvement of any intermediary, which for



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They are created by **software**. The supply of a cryptocurrency is NOT determined by any central bank but based on predefined rules explicitly written in software code. In other words, software replaces the central bank.

They are **counterfeit-proof**. This is due to the way the transaction information is recorded and stored.

Due to these special characteristics, cryptocurrencies provide the potential to give people **total control of their money with zero involvement from a third party**.

Whether crypto can live up to this potential remains to be seen. Its popularity in the financial world is growing and is now considered an emerging **asset class**.

Next Lesson
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